RetireSmartIRA — Social Security Calculator

How the app calculates spousal benefits, claim-age effects, and earnings-based estimates — prepared for Tim, May 21, 2026.

> **Your question:** “Can your app be made to calculate spousal benefit for SS based off the earnings of the highest earning spouse? Much like the SSA website does with date of birth and age of benefits beginning?”
>
> **Short answer:** Yes — and it’s already in the version live in the App Store right now (v1.8.4, approved this week). The pages below cover what it does, how to use it, and where it does more than the SSA site (and where it does less).

What the calculator does

When you give the app your earnings record and date of birth, it runs the same calculation chain SSA uses internally to produce your benefit estimate:

- **Indexes each year of earnings** by the National Average Wage Index (AWI), capped at the year’s Social Security taxable maximum. Indexing stops at age 60, matching SSA’s rule.
- **Selects your top 35 indexed years.** If you have fewer than 35 years of earnings, zero-pads the rest — the same approach SSA takes.
- **Computes AIME** (Average Indexed Monthly Earnings) by summing the top 35 indexed years and dividing by 420 months.
- **Applies the PIA bend-point formula:** 90% of AIME up to the first bend point, 32% between the first and second, 15% above the second. The bend points used are the ones SSA published for the year you turn 62.
- **Rounds PIA down to the nearest dime**, as SSA does.
- **Adjusts for your chosen claim age:** early-claim reduction (5/9 of 1% per month for the first 36 months before FRA, 5/12 of 1% per month beyond that) or delayed retirement credits (2/3 of 1% per month, max at age 70).

Spousal benefit from the higher earner

This is the specific capability you asked about. After both spouses’ PIAs are computed (either from earnings history or from the FRA estimate on the SSA statement), the app calculates the spousal benefit using SSA’s actual deemed-filing rules:

- **Maximum spousal benefit = 50% of the higher earner’s PIA** at the worker’s Full Retirement Age.
- **Deemed filing applies** (Bipartisan Budget Act of 2015, for anyone born after January 2, 1954): the spousal claimant receives their own reduced retirement benefit *plus* the reduced excess-spousal portion — not a free choice between the two.
- **Spousal early-claim reduction uses SSA’s separate (steeper) factors:** 25/36 of 1% per month for the first 36 months before the spousal claimant’s FRA. So an early-claiming lower-earning spouse faces a larger percentage reduction than the same months would produce on their own retirement benefit.
- **The spousal top-up only activates once the higher earner has filed.** If the higher earner is still delaying to maximize their own benefit, the lower earner collects only their own record until the higher earner files. This matches how SSA actually pays.
- **If one of you is already collecting,** the app takes the current monthly check as-is (since SSA’s single payment already includes any spousal top-up).

Date of birth and claim age

Your birth date determines your Full Retirement Age (66 through 67 depending on year of birth) and which year's PIA bend points apply (the bend points are indexed to the year you turn 62). The claim age you pick — anywhere from 62 to 70 — drives the reduction or delayed credit. The app shows your monthly and annual benefit at the chosen claim age in real time as you move the slider, and a chart of all nine claim-age options 62 through 70 with their cumulative benefit curves.

Step-by-step: how to use the tool

Two paths. Use Path A if you want the most accurate result; use Path B if you trust the SSA statement's projected numbers and just want to model claiming strategy.

Path A — Earnings History (most accurate)

Use this if your future earnings will differ from what SSA assumes (for example, if you've retired from W-2 work but SSA is still projecting your last working year forward), or if you simply want the app to recompute from primary data.

1. **Open the Inputs sheet**
   Tap **Social Security** in the sidebar, then tap **Inputs** at the top of the page.

2. **Switch to Earnings History**
   At the top of the sheet, tap the **Earnings History** tab (next to **Quick Entry**).

3. **Get your earnings record from SSA**
   Log into **ssa.gov/myaccount**, go to **Eligibility & Earnings**, and either download the XML file or copy the earnings table.

4. **Import or paste**
   Tap **Import SSA XML File** to pull in the XML directly, or paste the earnings table into the box below. The app parses both formats, including year ranges like "1966–1980" that SSA sometimes consolidates.

5. **Switch to your wife's record and repeat**
   Use the **Bob / Sue** toggle (or whichever names you've set) at the bottom of the sheet to switch between primary and spouse, and import or paste her earnings record the same way.

6. **Add projected future earnings (optional)**
   If either of you plans to keep working, enter the expected annual earnings and number of years remaining. The app re-runs the PIA calculation including those projected years.

7. **Review the PIA result**
   The app shows your calculated AIME, PIA, and estimated benefits at 62, FRA, and 70. If you also have the SSA statement estimates entered, it compares the two and flags any difference greater than 10% (which usually means SSA assumes different future earnings).

8. **Save and let it flow into your plan**
   Tap **Save**. The app auto-syncs the computed benefit into your income sources, where it flows through the federal provisional-income test, state SS exemption rules, and any Roth conversion scenarios you're modeling.

Path B — Quick Entry (fastest)

Use this if you're confident the SSA statement's projected benefit numbers are right for your situation.

1. **Open the Inputs sheet**
   Tap **Social Security** in the sidebar, then tap **Inputs**. The **Quick Entry** tab is selected by default.
2. **Enter the three SSA numbers for yourself**
   From your SSA statement, enter the projected monthly benefit at age 62, at Full Retirement Age, and at age 70.
3. **Set your planned claim age**
   Drag the slider between 62 and 70. The app shows the reduction or delayed-credit percentage and your estimated monthly benefit at that age.
4. **Switch to your wife's record and repeat**
   Use the name toggle at the bottom of the sheet to switch, then enter her three estimates and planned claim age.
5. **If either of you is already collecting**
   Turn on **Already Receiving Benefits** for that person and enter the current monthly amount. The app takes that as-is.
6. **Save**
   Tap **Save**. The app stores the data and syncs it into your income sources.

What to look at after you've entered the data

Once both records are saved, three views become available from the main Social Security screen. Each one answers a different planning question:

Claiming Analysis (per spouse)	Shows all nine claim ages 62–70 in a table, the monthly and annual benefit at each, and a cumulative-benefit chart. Includes break-even analysis: at what age does delaying to FRA pay off versus claiming at 62? When does waiting to 70 catch up? And the dollar advantage at your assumed life expectancy.
Couples Strategy	A 9×9 matrix of every possible claim-age combination (your age × her age), with the combined household lifetime benefit in each cell and the highest-lifetime strategy highlighted. The app applies spousal top-up activation timing and survivor-phase benefits correctly across the matrix. If the top two strategies are within $50,000 of each other, the app flags it as a "close call" and suggests a second opinion. If one of you has already claimed, the view collapses to a 1×9 strip optimizer for the deciding spouse.

Survivor Analysis	Both death-order scenarios. For each: combined SS income before, survivor SS income after, monthly and percentage drop, filing-status change implication (MFJ → Single, which often pushes the surviving spouse into a higher effective bracket on the remaining benefit), and a key-takeaways summary that explicitly addresses whether the higher earner is delaying long enough to maximize the survivor benefit. Uses SSA's RIB-LIM rule (survivor receives no less than 82.5% of the deceased's PIA even if the deceased claimed early).

Where the app goes beyond a standalone SS calculator

Once your SS benefit is set, it flows into the rest of the planning engine. That's the point of doing this inside the app rather than on ssa.gov:

- **Federal taxation of SS:** the provisional-income test (50% / 85% inclusion thresholds), automatically computed against your other income.
- **State SS exemption:** 42 states fully exempt SS from state tax; the app handles each state's rules and applies them to your projected benefit.
- **Roth conversion interaction:** a conversion in a given year raises provisional income, which can push more of your SS into the 85% taxable band. The app models this and flags the SS Tax Torpedo — when an additional dollar of income is effectively taxed at 1.5× or 1.85× your nominal bracket because it's dragging SS into taxability.
- **RMD interaction:** once RMDs start at 73, they push income up and can move SS taxation. The app shows the projected provisional income year by year.

What the app does *not* do (honest disclosure)

Two reasons to be transparent here: first, so you know when to cross-check against ssa.gov; second, because most of these don't affect your situation as a military retiree, but a few might.

What's not modeled	Affects you?
WEP — Windfall Elimination Provision. Reduces PIA for workers with pensions from non-SS-covered employment (some teacher pensions, pre-1984 CSRS federal civilian, foreign work).	**No.** Military service has been SS-covered since 1957. Your military retirement is from SS-covered employment, so WEP does not apply.
GPO — Government Pension Offset. Reduces spousal/survivor benefits by 2/3 of a non-SS-covered government pension.	**No.** Same reason — military pension is SS-covered.
Retirement Earnings Test. If you claim before FRA and keep working, \$1 in \$2 above ~\$22,320/yr (2024 limit) is withheld; restored later at FRA.	**Maybe.** Relevant only if you plan to claim SS before your FRA *and* earn W-2 or self-employment income above the limit. Military pension itself does *not* count toward the earnings test.

Family Maximum. Caps total benefits paid on one earner's record (150–188% of PIA) when children or other dependents also claim.	**Unlikely.** Relevant if you have minor children or a disabled adult child claiming on your record.
Divorced-spouse benefits. 10+ year marriage; can claim on ex's record.	**No** (assuming you're asking about your current marriage).
Disability benefits (SSDI).	Not modeled. SSA's site is the place for these.
Special Minimum PIA. Alternative formula for low-lifetime-earners with 11+ years of coverage.	Unlikely to apply if you have a full military and post-military earnings record.
Future-year AWI and bend points. The app's AWI table currently ends 2023 (extrapolated forward at ~4%/yr); bend points table ends 2026 (frozen at 2026 values beyond).	Mild approximation for long-horizon projections. Will be updated as SSA publishes new values.

Closing note

The short version: for a married couple with W-2 and military careers and no WEP/GPO situation — which describes your situation — the PIA the app computes from your earnings record reaches the same answer SSA would compute from the same data. The difference is what comes *after*: SSA's site gives you the benefit number; RetireSmartIRA gives you the household claiming strategy, the survivor income impact, and the tax-integrated multi-year picture that ssa.gov was never designed to produce.

If anything doesn't reconcile against your SSA statement when you try it, send me a screenshot. That kind of feedback is what's been driving the recent releases.

— John

Prepared 2026-05-21. Based on RetireSmartIRA v1.8.4, the version live in the iOS and macOS App Stores as of this date.